

DRREDDY

19.7%
ROE

21.4%
ROCE

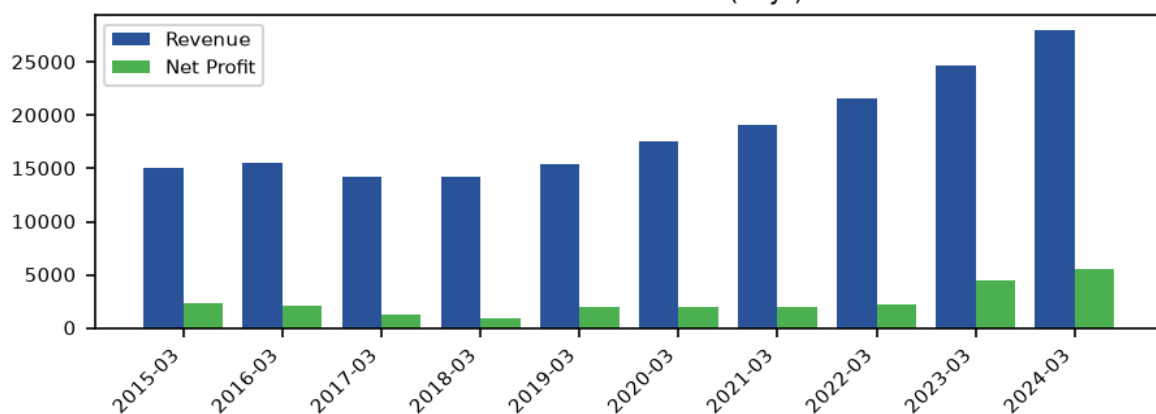
0.1x
D/E

12.6%
Revenue CAGR (5yr)

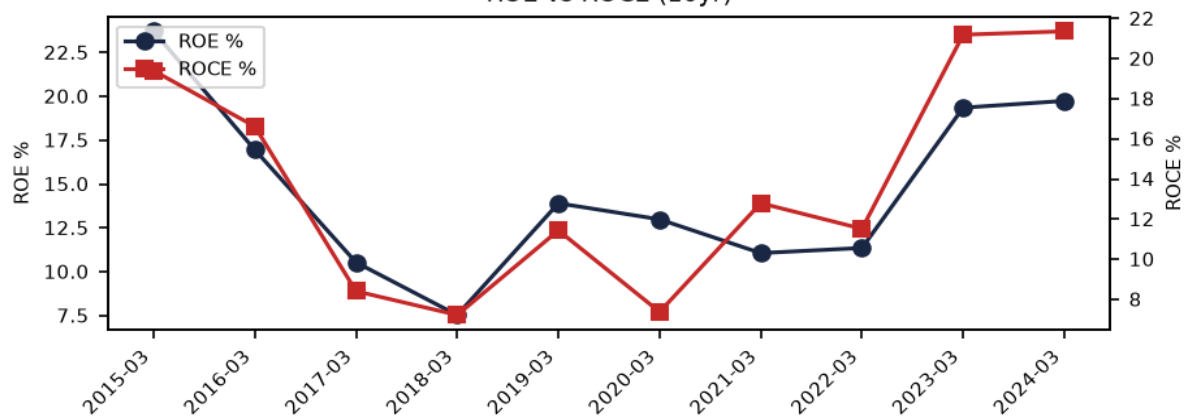
28.3%
OPM

19.9%
Net Profit Margin

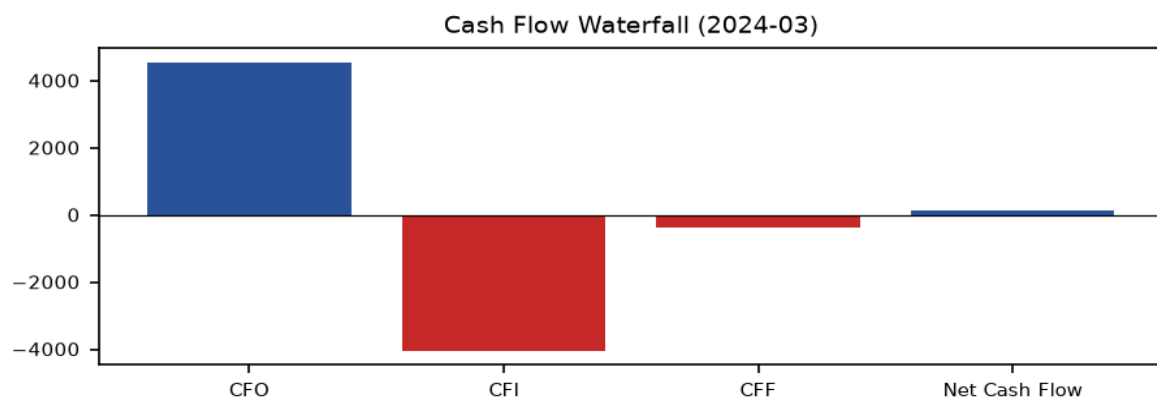
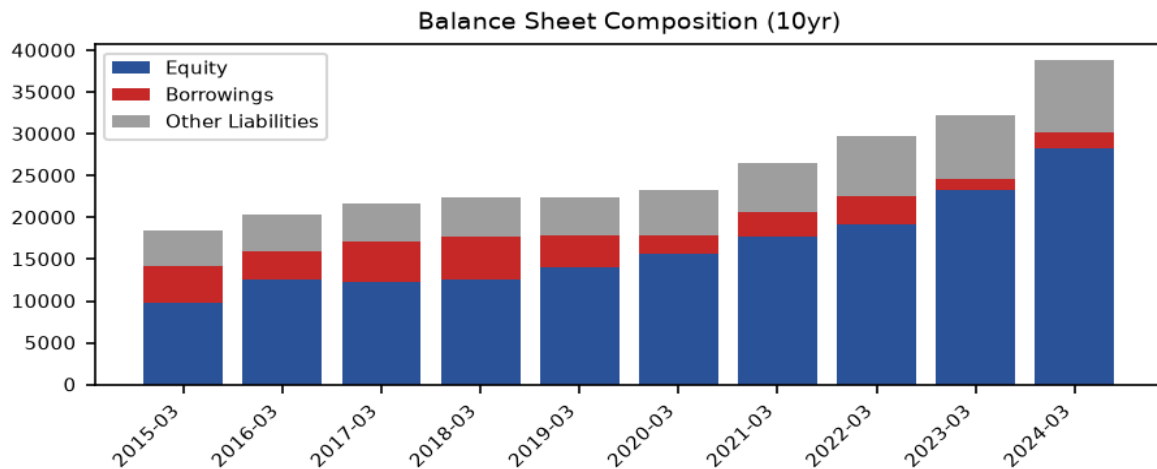
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



DRREDDY



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Low dividend yield means limited direct cash returns to shareholders relative to reinvestment-focused strategy

Capital Allocation Pattern: Reinvestor